

What can we learn from these tables? All of our assets had positive real returns, which is what you want from investing in any asset.

Real returns were much harder to come by in the inflationary 1970s. Eight out of 13 asset classes had negative real returns in the 1970s. Gold, commodities, and emerging market stocks had the best performance. Everything was up big in the 1982-2013 timeframe, but gold and cash lagged the most as the transition from high interest rates and inflation led to growth, lower inflation, and lower still interest rates. The only asset classes that had positive performance in every decade were emerging markets and TIPS, although the TIPS category is not a completely fair comparison since they were only introduced in 1997 and therefore this is a synthetic series that investors could not have allocated to at the time.

FIGURE 24 - Asset Class Returns, 1973-2013

Nominal Returns 1973-2013	US Large	US Small	Foreign EAFE	Foreign EEM	Corporate Bonds	T-Bills	US 10 Year	US 30 Year	Foreign 10 Year	TIPS	GSCI	REITs	Gold
Returns	10.21%	11.71%	9.49%	12.05%	9.29%	5.27%	7.74%	8.03%	8.54%	7.66%	8.08%	9.49%	7.36%
Volatility	15.57%	18.90%	17.49%	22.05%	6.62%	0.97%	8.43%	12.84%	7.52%	6.32%	20.37%	18.05%	20.88%
Sharpe	0.32	0.34	0.24	0.31	0.61	0.00	0.29	0.21	0.43	0.38	0.14	0.23	0.10
Max Drawdown	-50.95%	-51.93%	-56.40%	-61.44%	-20.08%	0.00%	-15.79%	-25.84%	-15.21%	-11.89%	-67.65%	-67.88%	-64.97%
Real Returns 1973-2013	US Large	US Small	Foreign EAFE	Foreign EEM	Corporate Bonds	T-Bills	US 10 Year	US 30 Year	Foreign 10 Year	TIPS	GSCI	REITs	Gold
Returns	5.71%	7.16%	5.03%	7.50%	4.84%	0.99%	3.34%	3.60%	4.12%	3.29%	3.73%	5.03%	3.01%
Volatility	15.74%	19.04%	17.65%	22.11%	6.97%	1.24%	8.73%	13.21%	7.76%	6.40%	20.19%	18.18%	20.77%
Sharpe	0.30	0.32	0.23	0.29	0.55	0.00	0.27	0.20	0.40	0.36	0.14	0.22	0.10
Max Drawdown	-54.12%	-60.01%	-57.07%	-61.98%	-39.17%	-12.54%	-44.75%	-61.18%	-32.68%	-22.33%	-66.40%	-69.26%	-84.59%
Real Returns 1973-1981	US Large	US Small	Foreign EAFE	Foreign EEM	Corporate Bonds	T-Bills	US 10 Year	US 30 Year	Foreign 10 Year	TIPS	GSCI	REITs	Gold
Returns	-3.92%	1.43%	-1.22%	4.29%	-3.79%	-0.71%	-5.08%	-8.65%	-2.66%	0.49%	3.27%	-2.28%	13.02%
Real Returns 1982-2013	US Large	US Small	Foreign EAFE	Foreign EEM	Corporate Bonds	T-Bills	US 10 Year	US 30 Year	Foreign 10 Year	TIPS	GSCI	REITs	Gold
Returns	8.61%	8.85%	6.87%	8.45%	7.41%	1.48%	5.85%	7.34%	6.13%	4.10%	3.87%	7.19%	0.37%
Real Returns 1973-2013	US Large	US Small	Foreign EAFE	Foreign EEM	Corporate Bonds	T-Bills	US 10 Year	US 30 Year	Foreign 10 Year	TIPS	GSCI	REITs	Gold
1970s	-5.26%	-0.05%	-1.59%	5.05%	-2.05%	-1.55%	-4.23%	-7.64%	-0.84%	0.83%	9.66%	-4.58%	25.45%
1980s	11.67%	11.72%	16.65%	11.58%	9.20%	3.81%	7.22%	7.89%	6.48%	4.49%	5.23%	6.98%	-7.57%
1990s	14.71%	12.27%	4.22%	7.82%	5.50%	1.95%	4.87%	5.98%	6.95%	2.38%	0.95%	4.97%	-6.71%
2000s	-3.38%	2.49%	-0.92%	7.33%	4.93%	0.19%	3.92%	5.11%	4.09%	5.03%	2.58%	7.45%	11.40%
2010s	13.73%	8.11%	6.49%	1.16%	4.47%	-1.82%	2.17%	4.13%	0.13%	2.40%	-0.33%	12.00%	0.49%
Volatility	9.78%	5.51%	7.37%	3.83%	4.07%	2.38%	4.33%	6.16%	3.58%	1.72%	3.96%	6.12%	13.91%

Source: Global Financial Data